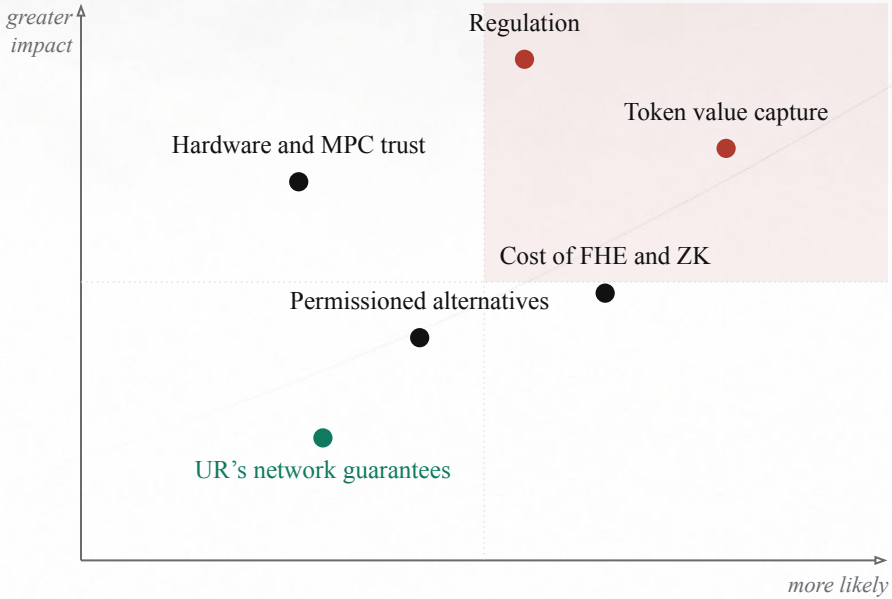
Regulation and token value capture are the two risks most likely to break the thesis



What would invalidate the thesis

Regulation. New enforcement against non-custodial privacy developers in the US or EU, after a 2025 conviction left developer liability unresolved.

Token value capture. Usage grows while protocol fee revenue stays flat, because fees accrue to issuers and applications.

Cost of FHE and ZK. Proving and FHE costs stop falling, or hardware acceleration is delayed.

Hardware and MPC trust. A material enclave exploit or collusion event at a major network.

Permissioned alternatives. Institutional stablecoin volume concentrates on permissioned ledgers.

UR's network guarantees. Privacy operators require mixing or cover traffic that UR does not offer.

Note: Khala Research's qualitative judgement of likelihood and impact; provisional. The shaded quadrant holds the risks that matter most. *Sources:* US v. Storm, SDNY (Aug 2025); URnetwork, threat model; Vitalik Buterin, L1 privacy roadmap; Multicoin Capital.